

MOBILIZING MINING REVENUE IN SIERRA LEONE¹

Sierra Leone is a resource rich economy, and its mining sector can generate revenue to finance its development goals and ensure debt sustainability. Sierra Leone previously incorporated its mining fiscal regime for industrial miners into mineral license agreements that are difficult to modify. Negotiated tax concessions, combined with acute capacity challenges in revenue administration, are hindering revenue performance and have led to an elevated reliance on fees and trade taxes which increase investor costs, hindering competitiveness. Sierra Leone legislated a new fiscal regime - the Extractive Industries Revenue Act (EIRA) - in 2018 for new investments. Applying the EIRA could significantly boost revenue performance, whilst also ensuring taxes are responsive to changes in economic conditions. Stronger revenue performance will require a stronger revenue administration. Efforts to improve mineral royalty compliance are starting to pay dividends but NRA will need to bolster its resources and widen its skill sets.

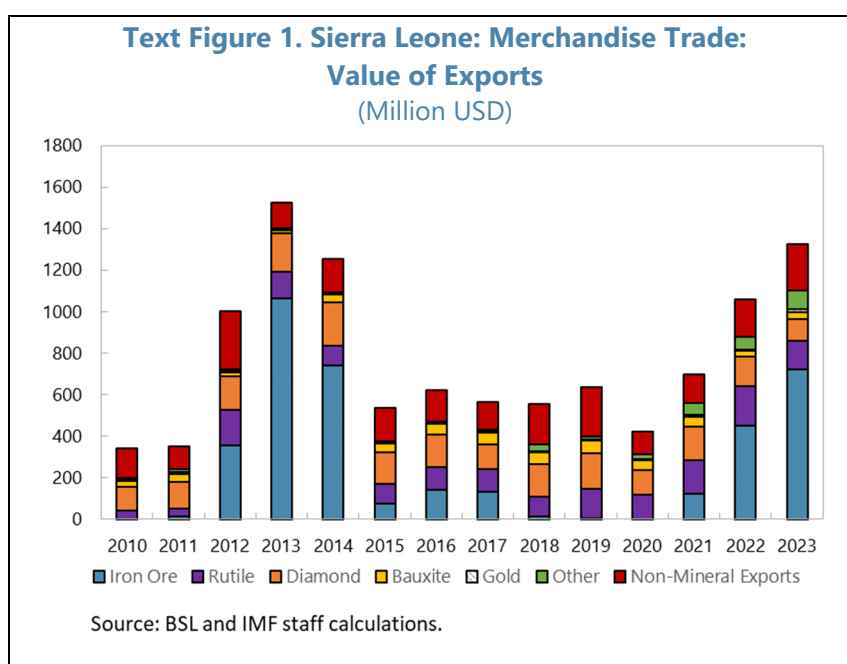
A. Mining in Sierra Leone: An Overview

- 1. Sierra Leone is a resource rich country with significant reserves of rutile, bauxite, iron ore, gold, diamonds, limonite, platinum, and zircon.** Mineral production in Sierra Leone has been occurring from at least the 1920's, with the enactment of minerals legislation in 1927 (GoSL, 2018). The extractive sector plays a critical role in the economy, contributing some 7 percent of GDP and 80 percent of goods exports, but only employs about 2.84 percent of the labor force given its capital-intensive nature.
- 2. Inbound investors hold most of the large-scale mining licenses in Sierra Leone and the fiscal terms of their operation are determined by individual agreements signed with the government.** As of June 2024, there were 21 active large scale mining licenses. Most minerals are exported with little processing or local value addition.
- 3. The country also has a large artisanal mining sector focused primarily on the production of rough diamonds and gold.** Artisanal mining is a significant source of employment and artisanal miners in Sierra Leone were estimated to represent about 2.6 percent of the labor force in 2019 (SLEITI, 2019). Most artisanal miners operate independently, without the support of cooperatives. There are an estimated 700 active sites in the country, of which 485 mine diamonds and 200 gold (SLEITI, 2019). In 2021, artisanal mining represented 42 percent of the total export value for gold, 33 percent for diamonds, and 59 percent for columbite-tantalite ore (coltan).
- 4. The government faces challenges in regulating the artisanal sector and ensuring compliance with fiscal, environmental, and social standards.** Some of the most lucrative mining sites are in remote areas which hampers the monitoring and regulation of mining activities. This

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remoteness, combined with the high-value nature of the gold and diamonds and capacity constraints in key agencies, create opportunities for under-reporting of production and illicit export.

5. Over recent decades, the mining sector in Sierra Leone has been impacted significantly by multiple shocks, affecting growth and exports. The decade-long civil war from 1991-2002 disrupted mining activities and caused substantial loss of life and damage to infrastructure. The Ebola outbreak and a sharp fall in iron ore prices in 2014 led to another suspension of mining activities and a significant decline in foreign investment and exports. The Covid-19 pandemic of 2020 again impacted production, associated with travel restrictions and worldwide supply chain disruptions. Disputes with companies have also led to disruptions: in 2019 for example, the government cancelled or suspended the licenses of some large mining companies for failure to comply with statutory obligations, leading to a halt to iron ore output (Text Figure 1).



6. The National Revenue Agency (NRA) is the primary agency administering the fiscal regime. NRA's role in revenue collection was expanded in 2018 with the introduction of the EIRA, with the transfer of responsibility for the assessment and collection of mineral royalties. Within NRA, the Extractive Industry Revenue Unit (EIRU) manages the handling of all extractive-industry related taxes, but faces acute capacity constraints with only 6 staff. The Ministry of Mines and Mineral Resources (MMMR) is responsible for non-revenue policy making. The National Minerals Agency (NMA) is the sector regulator, but also has a central role in diamond valuation for royalties and other fiscal instruments. Sierra Leone also has a cross-cutting Minerals Advisory Board which has a key role in setting the nation's overall mineral development strategy.

B. Mining Revenues and the Fiscal Regime

Fiscal Regime Structure

7. Most mines operating in Sierra Leone have negotiated their own fiscal terms, which are incorporated into mineral license agreements. Sierra Leone has adopted a fiscal regime structure focused on taxes and royalties, with historical practice being to negotiate fiscal terms such as royalty rates, income tax provisions, or exemptions from import duties, on a project-by-project basis. Investors therefore operate under a range of fiscal terms. Moreover, these license agreements protect mining companies from subsequent changes in the fiscal regime through the use of stabilization provisions. Mining companies also incur revenue instruments that apply sector-wide, such as requirements for state participation, as well as surface rental payments and fees (e.g., for environmental licenses). Many mining projects also make smaller payments to local landowners and sub-national authorities.

8. To move away from project-level negotiations, Sierra Leone legislated a robust fiscal regime law for the natural resources sector in 2018. In a break with the previous practice, the EIRA – which covers both minerals and petroleum – was intended to be the primary fiscal regime for new mining investments. The EIRA incorporated the imposition of royalties and introduced a new resource rent tax (RRT) to enable the government to share in project returns if a project becomes highly profitable. The EIRA also relies on income tax act (ITA) provisions such as transfer pricing and interest limitations, while the ITA includes fiscal instruments such as the CIT and withholding taxes.

9. When the EIRA was introduced, a strong protection was included that while existing projects would retain their fiscal terms, there was no room for terms to be further modified. The preservation of existing fiscal terms recognized that countries can damage their overall climate for mining investment by ad-hoc or discriminatory tax increases after investment decisions have been made. However, the EIRA also clearly seeks to discourage renegotiations by directing NRA to both ignore any alterations and to revert back to the current ITA and EIRA law if fiscal terms are changed (how this is playing out in practice however is discussed further in Section C).

10. The IMF has actively engaged with Sierra Leone on mobilizing mining revenues. This has included support to develop the EIRA law and related explanatory materials; the implementation of a safe harbor for iron ore prices; compliance support to the EIRU; and training on fiscal modeling of resource projects.² This is in addition to wider support on revenue mobilization.

Mining Revenue

11. During 2010-23, fiscal revenue receipts from the mining sector were relatively low (median of 0.9 percent of GDP) and volatile (a standard deviation of 0.4 percent of GDP). Since 2011, there has also been a noticeable downward shift in average fiscal revenues from the

² Most of this support was provided with financial support from the multi-donor Managing Natural Resource Wealth (MNRW) Thematic Fund.

mining sector (Text Table 1). Two phases can be observed. First, during 2010 to 2014, mining revenues averaged about 1.5 percent of GDP, with a standard deviation of about 0.3. But following the Ebola crisis and other developments in the iron ore sector, average fiscal revenues from the sector declined by about half to represent 0.7 percent of GDP. In 2023, the sector contributed revenue of around 0.6 percent of GDP. This is below national expectations.³

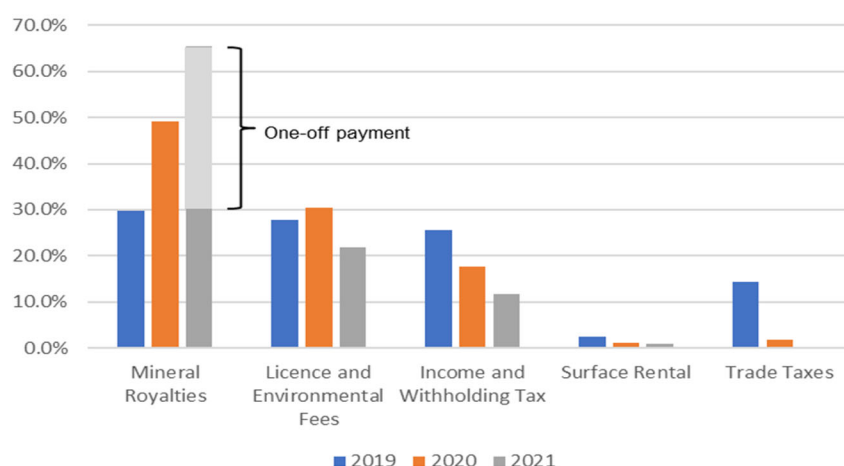
Text Table 1. Sierra Leone: Total Fiscal Revenues from the Mining Sector, 2010-23
(In percent of GDP, unless indicated otherwise)

	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Total Revenues	0.7	1.5	1.8	1.6	1.3	0.7	0.8	0.5	0.9	1.0	0.7	0.9	0.6	0.6
Mining Royalties	0.1	0.1	0.4	0.6	0.5	0.1	0.3	0.2	0.2	0.2	0.3	0.5	0.2	0.3
Mining Licences	0.1	0.7	0.1	0.1	0.1	0.1	0.1	0.1	0.2	0.2	0.1	0.2	0.2	0.1
Income and Withholding taxes	0.4	0.4	0.8	0.8	0.6	0.4	0.4	0.1	0.4	0.5	0.2	0.2	0.2	0.1
Surface Rental	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Trade taxes	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.1	0.1	0.1	0.0	0.0	0.0	0.0
Other, (incl. Mining lease)	0.0	0.2	0.4	0.1	0.0	0.0	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0
Memo:														
Mining revenues as a share of total domestic revenue	11.1	20.7	24.1	20.6	17.3	9.7	10.9	7.0	10.6	10.8	8.2	9.8	8.6	8.1

Sources: Sierra Leonean authorities, and IMF staff calculations

12. Sierra Leone's recent mining revenue has come from three main sources: mineral royalties, license and environmental fees, and income taxes including withholding taxes (Text Figure 2). Other sources of revenue such as surface rents and trade taxes contribute only a small amount to total revenues, and in the case of surface rents, are paid primarily to sub-national authorities and local communities. None of Sierra Leone's main mines are currently subject to the RRT introduced in the EIRA, and no state participation dividends have been reported.

Text Figure 2. Sierra Leone: Revenue by Fiscal Instrument
Percentage of Total Revenue, 2019-21



Source: SLEITI Payments Data

³ The Medium-Term National Development Plan (2024-2030) includes an aspirational target to increase mining revenues to 10 percent of revenues by 2030.

13. Mineral royalties continue to be a key source of mining revenue to the budget. These royalties remain the cornerstone of the fiscal regime but fluctuate based on production and prices. In recent years, mineral royalties represented around 0.2-0.3 percent of GDP. Royalties were boosted substantially in 2021 with a one-off payment to settle a prior dispute.⁴

14. Income tax revenue fluctuates over time but remains confined to only a few taxpayers. Between 2019 and 2021 revenues from income and withholding taxes averaged 0.1 percent of GDP. During this period only two taxpayers routinely paid CIT, supplemented by ad hoc withholding tax payments from a wider group of 14 taxpayers (SLEITI, 2023). This is despite most of the operating industrial mines in Sierra Leone being relatively established.

15. Fees are playing an elevated role in revenue collections, but at a cost to competitiveness. Fees for mining licenses, environmental licenses and monitoring, and trading permits have contributed nearly one-third of total revenue recently (about 0.2 percent of GDP). These fees provide a stable source of revenue, as they are clearly defined and difficult to avoid. But they directly increase project costs, reducing the competitiveness of the fiscal regime.

C. Current Issues in Mining Resource Revenue Mobilization

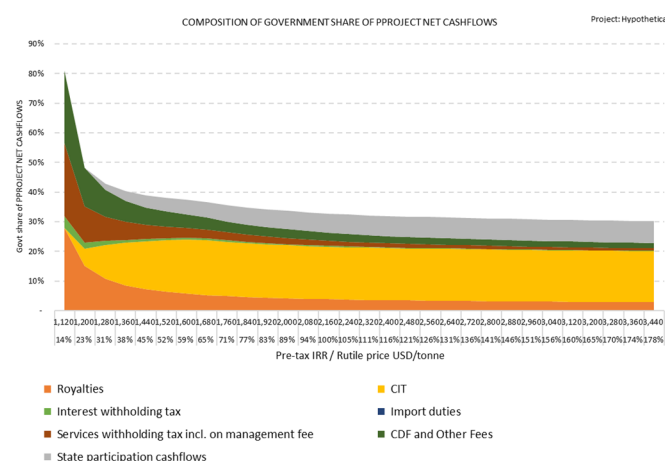
The Fiscal Regime Structure, Mining Costs, and Further Concessions

16. The overall fiscal regime for existing investors has only limited opportunity to capture price upswings, which could increase political pressure.

The reliance on mineral royalties, trade taxes and fees mean the overall fiscal regime can only expect to see modest changes in revenue during commodity price booms. This can raise political pressure if citizens cannot see the State participating in higher commodity prices through higher revenues.

17. This existing fiscal regime structure can contribute to a stop-start cycle of mining operations. As the overall fiscal regime relies heavily on fiscal instruments such as fees and royalties, the sector is more vulnerable to periods of low commodity prices. Because mining companies must continue to

Text Figure 3. Sierra Leone: Fiscal Regime
Composition of Government Share of Project Net Cash Flows



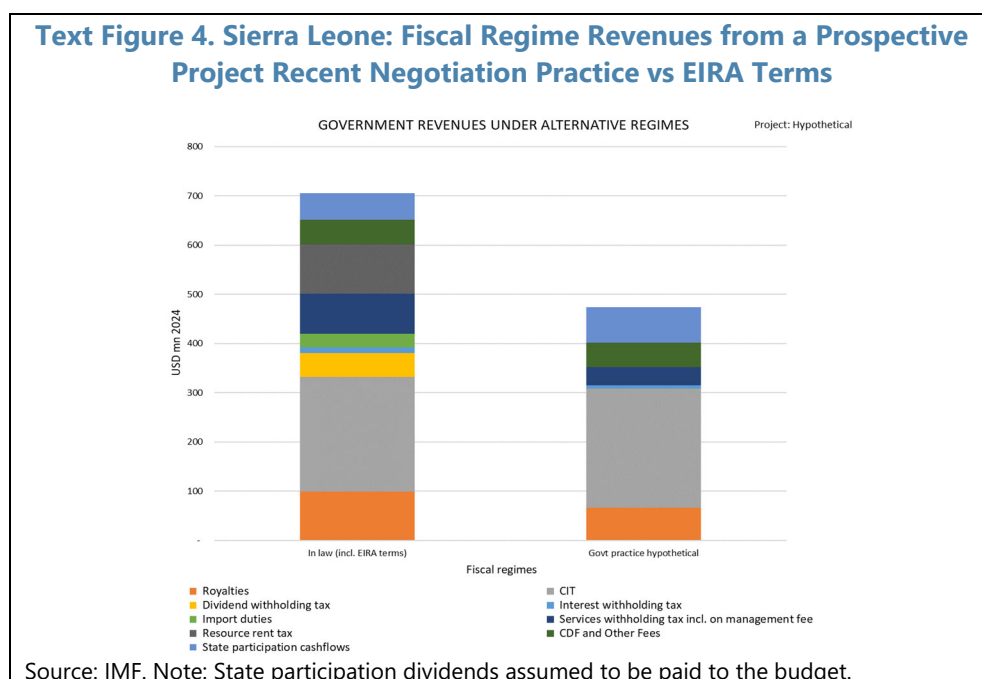
Source: IMF

Notes: CDF – Community Development Fund. This figure shows a decomposition of the Average Effective Tax Rate (AETR) for a hypothetical prospective project in Sierra Leone. The AETR is the net present value (NPV) of total government revenue expressed as a percentage of the NPV of the project before tax. A downward sloping curve indicates a regressive fiscal regime.

⁴ <https://www.reuters.com/world/africa/gerald-group-resolves-iron-ore-dispute-with-sierra-leone-2021-05-11/>

make these payments even in challenging economic conditions, they may suspend production - as occurred with iron ore (2014) and rutile (2020). Text Figure 3 illustrates the regressivity of the fiscal regime.

18. Suspended operations (and disruptions to revenue) has flow-on effects: policymakers can rush to agree new fiscal terms, at the expense of future revenues. Pressure to avoid mine closures can induce decision makers into quickly agreeing to unbalanced fiscal terms. In 2021 for example, Sierra Rutile was granted a reduced royalty rate of 0.5 percent (from 4 percent) after a threat to cease production.⁵ This has come at a cumulative revenue loss estimated at around USD 12.6 million by end-2023 (Text Figure 4) and USD 25 million by 2026.



19. This tendency to renegotiate overlooks the advantages of the EIRA's fiscal regime. As noted earlier, the EIRA is much better suited to accommodating fluctuations in mining conditions. And as noted in Section B, the EIRA's provisions on negotiated fiscal terms means the renegotiated agreements may have tenuous legal foundations.

Tax Policy Issues

Abusive Transfer Pricing

20. With most major mining projects in Sierra Leone foreign owned, they are at risk of cross-border tax planning via profit shifting. International profit shifting involves MNEs undertaking internal group transactions to take advantage of tax differentials between countries.

⁵ See 2021 suspension announcement: <https://slobserver.org/wp-content/Library/210519%20Sierra%20Rutile%20-%20Suspension%20of%20operations.pdf>

With mining fiscal regimes containing additional taxes (to capture location-specific economic rents), this increases the incentive for MNEs to allocate income to lower-tax countries (see IMF, 2021).

21. The ITA prescribes that arm's length prices must be used. The ITA requires taxpayers to apply the internationally recognized arm's length standard, and in 2021 Sierra Leone implemented more detailed regulations for the use of international quoted prices for the export of commodities to related parties. Despite these protections, Sierra Leone has faced acute challenges in detecting and combating profit shifting via transfer prices (discussed later under Revenue Administration).

Transfers of Interests in Mining Companies

22. NRA faces challenges in identifying offshore transactions that might incur CGT and in asserting a legal right to tax them. Capital gains associated with resource projects can be substantial, and taxable transactions may be for mine assets or involve the sale of shares of a company operating a mine. Offshore transactions can be difficult to detect, and investors may not report them in a timely way or undertake them through complex legal structures. These structures can also raise disputes about the allocation of international taxing rights.

Tax Incentives and the Negotiation of Fiscal Terms

23. Income tax incentives are not usually decisive in whether an investment will proceed, but they are nevertheless being employed. Where countries afford tax holidays or other profit-based incentives, they increase the risk of revenue loss without meaningfully influencing the investment decision. Despite the risks, recent actions have continued with concessions: agreements with Marampa, Kingho, and Sierra Rutile will all forgo revenue.

24. A stylized prospective project example illustrates the potential revenue consequences of forgoing the EIRA fiscal terms. This hypothetical project⁶ has a 15-year production life and a real internal rate of return of around 22 percent before taxation. Recent government negotiating practice - based on negotiations with Marampa, Sierra Rutile, and Kingho Mining - has been to reduce mineral royalty rates, afford CIT concessions, exempt the investor from the RRT and reduce withholding taxes. The revenue impact is presented below relative to the EIRA-based fiscal regime.

25. For this stylized project, recent government practice would transfer one third of total revenue back to the investor. The primary impacts are felt via a 1 percent reduction in royalty rates (at a cumulative total cost of around USD 30 million) and the exclusion of the RRT (cumulative lost revenue around USD 120 million – see Text Figure 4). In addition to these revenue losses, the concessions heighten the reliance on CIT and state participation dividend payments which can both be susceptible to the profit shifting risks noted earlier.

⁶ This project is based on Sierra Rutile's public presentations of the Sembehun project. However, as the full model is not publicly available, this section required additional assumptions by IMF staff to align the key modeling results.

26. A principal issue with recent government practice is that the concessions are not needed to make the project viable. For the hypothetical project example, a project under the EIRA fiscal regime would be viable after tax at assumed prices, despite the regime collecting higher revenue over time. Recent practice therefore is transferring project income back to investors for projects that already had strong prospects of proceeding (that is, with project returns exceeding investor hurdle rates for investment).

Tax Stabilization

27. Tax stabilization provisions complicate tax reform and the natural evolution of tax law. Stabilization provisions increase the difficulty of tax reform (e.g., tax base protection measures) and lengthen the transition to a new fiscal regime – even when the policy changes are part of internationally-agreed initiatives such as under the Inclusive Framework process. NRA, for example, has needed to undertake detailed legal analysis on the impact on existing investors before considering the introduction of a safe harbor price for iron ore sales made between related parties, even though there is a clear grounding for this approach in the ITA.

State Participation and Fiscal Risks

28. Sierra Leone has a mandate to take a ten percent stake in large scale mining projects. The MMDA provides that for large scale mining licenses, the state shall acquire a free carried interest of 10 percent of the value of the license. This policy choice has implications for resource revenues, and wider linkages to the country's development strategy and fiscal governance.

29. Sierra Leone established the Sierra Leone Mines and Minerals Development and Management Corporation, passing legislation in 2023. The purpose of the corporation is to carry out minerals and mining development management and related activities on behalf of Sierra Leone and to facilitate state participation investment in mines and minerals development.

30. This new mineral development corporation has clear fiscal implications and increases fiscal risks. The corporation is tasked with holding and managing the State's interest in mining projects, and so any dividend revenue might be retained under its control - outside the budget. Notably, the company has been given freedom to borrow, and to finance or guarantee the operations of a project company, and to identify minerals for its own development/management.

31. Its strategy will need to align with national economic and development goals. The new mineral development corporation risks drawing much-needed revenue away from the budget. To justify this approach, the entity will need to execute a strategy clearly in line with national development goals (e.g., industrialization, local value addition linking into international markets),

with enhanced reporting of its activities. It will also require access to technology and skilled staff who can analyze project alternatives and make strategic investment decisions.⁷

Revenue Administration

Core Administration Skills and Capacity Constraints

32. Key agencies face acute capacity constraints, and NRA is still building its sectoral experience. One cross-cutting issue that is hindering revenue mobilization is the highly constrained capacity of key agencies, particularly NRA. A combination of under-resourcing and skills shortages undermines the ability of central agencies to monitor industry practices, detect tax avoidance, and stop outright evasion and smuggling.

33. In addition, NRA has no access to international tax information exchange mechanisms, hindering its information gathering powers. Information exchange between tax authorities is essential to understanding the international operations of multinational enterprises operating in Sierra Leone. Some functions which might be ordinarily considered as being sourced in Sierra Leone (and therefore subject to taxation) can be hidden from NRA if transactions are conducted offshore. This makes transfer pricing audits much more challenging: NRA may struggle to even ascertain whether a corporate group is selling to related parties.

34. Better information would improve compliance. Efforts to review iron ore pricing practices and develop a safe harbor pricing methodology are a strong step to reduce information gaps on iron ore pricing. Other measures to strengthen information availability will take time, as developing country tax administrations can struggle to use them effectively.

35. Legal analysis and negotiation skills are complimentary skill sets that need strengthening across key agencies. Legal analysis and the development of legal strategy will be required in several areas. These include legal support to craft a narrower, time-bound fiscal stability provision. In addition, as tax audits begin to include more complex areas such as transfer pricing, expertise will be needed to assess their legal foundations and the strength of the Commissioner's case if an audit escalated to the courts. Any rebalancing of existing agreements would require the development of a negotiation strategy and legal analysis of existing MLAs.

36. Narrower technical skills, such as in diamond valuation also need to be maintained. These technical skills help ensure that royalty revenue and income taxes are applied to the appropriate value of local production. These skills need to be maintained and complimented by elevated monitoring to reduce risks of corrupt valuations, and to protect officials from coercion.

⁷ As an alternative approach for the near term, any dividend revenue received could be used to generate revenue by engaging specialists to engage companies on transitioning to the EIRA fiscal regime.

D. Conclusion and Policy Discussion

37. Sierra Leone effectively has two approaches to its fiscal regime for raising revenue from mining: the EIRA and recent practice. The fiscal regime adopted in the EIRA law would raise more revenue, whilst also being more responsive to changes in mineral prices and project economics. In contrast, current practice relies more heavily on generating revenue from mineral royalties and fees applied to mining investors. Current practice increases the prospects of a stop-start pattern of mining operations and for investors to seek new fiscal terms if economic conditions deteriorate.

38. Moreover, the authorities have continued to engage in the negotiation of fiscal terms, despite acute capacity constraints and disappointing outcomes. Without thorough analysis and fiscal modeling, there are elevated risks that agreed fiscal terms are unbalanced towards investors and forgo revenue unnecessarily. These outcomes are also difficult to unwind due to the use of broad fiscal stabilization provisions. For Sierra Leone, a high impact change would be to dispense with the negotiation of fiscal terms and rely on the EIRA.

39. Stronger revenue administration would also increase revenue collections, based on a clear strategy of where to focus scarce resources. Sierra Leone's key agencies remain highly capacity constrained, but efforts to strengthen capacity are critical particularly for the effective administration of profit-based fiscal instruments. With substantial revenue raising challenges across all the main fiscal instruments, compounded by a scarcity of resources available to respond, a key question for decision makers is where to focus their efforts.

40. NRA could focus its near-term compliance efforts on ensuring mineral producers are complying with their reporting obligations and setting mineral prices according to the arm's length standard. Once compliance in mineral pricing is stable (or earlier if resources permit), NRA could focus on strengthening the administration of other royalty and taxation issues. Experience in conducting tax audits and training in transfer pricing will improve taxpayer compliance further.

41. Stronger revenue mobilization could be reinvested into further improving the investment climate. As CIT compliance improves (and with a renewed use of the RRT), this could create fiscal space that could either flow directly to improving the fiscal position, or which could be used to reduce fiscal instruments that are harming Sierra Leone's competitiveness.

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